THE KANSAS CITY STAR.

50¢ METROPOLITAN EDITION ★ Friday, May 25, 2001

KC SETS VOTE ON FIRE, RAIL SALES TAXES

City Council compromise clears the way

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The Kansas City Star

The Kansas City Council on Thursday agreed to place two tax increases totaling $1 billion on the August ballot — a 15-year sales tax for the Fire Department and a 25-year sales tax for light rail.

A proposed ¼-cent sales tax would raise money to repair or replace aging fire stations, add new stations in the Northland, hire 135 firefighters, and pay for equipment and maintenance. The sales tax would raise approximately $15 million annually, plus $3.4 million per year in "use" taxes on out-of-state catalog sales, not adjusting for inflation.

Kansas Citians also will be asked on Aug. 7 to approve a ½-cent sales tax to pay the local cost of a $793 million light-rail system from 75th Street and Bruce Watkins Drive to Interstate 29 and North Oak Trafficway.

The light-rail plan assumes the federal government would contribute up to 60 percent of construction costs, with 40 percent, or about $317 million, coming from local funds. That sales tax, which would raise about $30 million annually, not adjusting for inflation, also would pay the operating costs of the light-rail line.

"I hate taxes," Councilman Troy Nash said about the proposed Fire Department tax. "But at the same time, I hate the living conditions they (firefighters) have to go through."

City officials estimated that if both measures passed, a ¾-cent sales tax increase would cost the average person earning $38,000 about $70 more a year.

Thursday's debate focused on

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AUG. 7 BALLOT PROPOSALS

Fire Department
1/4-cent sales tax for 15 years, raising $276 million, not including inflation.

Light rail
1/2-cent sales tax for 25 years, raising $750 million, not including inflation.

If both measures pass, average resident earning $38,000 would pay about $70 more a year.

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the merits of a 10-year vs. a 15-year public safety tax. City Manager Robert Collins said that spreading the tax over 15 years was a better way to ensure that the city could complete a $109 million capital improvements program, plus afford nearly $200 million in related operating and staffing costs.

But Council members Jim Rowland, Becky Nace, Bonnie Sue Cooper and Paul Danaher called for collecting the tax over fewer years. They said the city should find ways to save money elsewhere in its $1 billion budget to ensure a permanent source of money for Fire Department operations.

"We have not done a single thing to change the way we govern," Rowland said.

"We're not talking about efficiencies....Soak the taxpayer. We go to them first because it's easier."

Councilman Evert Asjes, however, said the city had a history of launching building programs without providing money to operate and maintain those buildings. Asjes said he thought the 15-year approach was preferable.

"We have to build in operating and maintenance for the next 15 years at least," he said.

Mayor Kay Barnes, who had advocated a 25-year tax, settled for the 15-year tax.

"These people are putting their lives on the line every day," Barnes said.

Despite the costs of the measures, she said that an estimated 30 percent to 40 percent of Kansas City sales taxes are paid by nonresidents.

The council voted 9-4 in favor of the 15-year plan, with Rowland, Nace, Cooper and Danaher opposed.

The council then voted 12-1 to put the Fire Department proposal on the August ballot, with Danaher dissenting.

Fire officials appeared pleased with the compromise.

"We're committed to building the best fire department in the country," said Fire Chief Smokey Dyer, who thinks the tax will help accomplish that.

she would introduce a resolution next week that would propose a similar tax package for the Police Department's building and staffing needs. The department had hoped to pair its requests with the Fire Department, but didn't complete its planning in time to meet the council's Thursday deadline to adopt August ballot measures.

The ballot will include other tax or fee proposals, including higher fees for restaurant inspections and an adjustment to the hotel/motel sales tax.

The council's decision to place a city-sponsored light-rail proposal on the ballot concludes decades of debate among politicians and civic leaders. Residents in recent years have rejected several light-rail proposals, but they were petition initiatives by activist Clay Chastain, not city-sponsored plans.

The council voted 12-1 Thursday for the latest light-rail proposal, with Danaher again voting no.

Danaher said he had lived in cities where light rail was needed, but those communities had denser populations and worse traffic congestion than Kansas City.

"It sounds good, but it will be an operations nightmare, a taxpayer-funded nightmare," Danaher said.

Councilman Ed Ford said he thought light rail could help reverse the city's suburban sprawl and promote economic development within the urban core.

Leonard Graham, who co-led the steering committee that developed the light-rail plan, said he realized that the group's job was just beginning.

Now the committee has to convince voters to tax themselves for 25 years.

When asked what the biggest challenge of the election campaign will be, Graham replied, "Educating the public."

"It's only partly about moving people around," Graham said about light rail. "It's also about building a city."